

Candidate Name

Centre Number

Candidate Number



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ACCOUNTING
PAPER 2: Structured Questions

6001/2
1 hour 45 minutes

SPECIMEN PAPER

Candidates answer on the question paper
Additional materials:
Calculator

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces at the top of this page.

Answer **all** questions.

Write your answers in the spaces provided on the question paper.

The businesses in this paper are intended to be fictitious.

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TOTAL	

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[Turn over

- 1 (a) Define a master budget.

[1]

Sales revenue data for six months to December 2026:

Actual	Actual	Forecast	Forecast	Forecast	Forecast
July	August	September	October	November	December
\$	\$	\$	\$	\$	\$
120 000	160 000	180 000	260 000	200 000	240 000

Additional information:

- 70% of the sales are expected to be on credit. Credit customers are to pay 80% of their debts a month after sale and the remainder two months after sale. Cash customers are allowed a 5% cash discount.
- Cost of production is expected to be 50% of sales. Goods are produced a month before sale. 60% of the production cost is paid for in the month of production and the remainder one month later.
- 20 000 Ordinary shares of \$1 each are to be issued in October at \$1.20 per share.
- An old motor vehicle will be sold for \$18 000 in September. Proceeds from sale are to be received in November.
- Sundry expenses are expected to be \$45 000 per month payable in the month incurred.
- \$15 000 Loan from FM Bank is to be received in September.
- Redeemable preference shares with a value of \$55 000 will be redeemed in October.
- Equipment is to be purchased in November for \$100 000 cash.
- On 1 September 2026 there will be a bank overdraft balance of \$6 000.

- (b) Prepare a cash budget for the **three** months ending 30 November 2026.

- 2 Sarah and Beauty were in partnership sharing profits and losses in the ratio 2:1 respectively. Due to declining profits they decided to dissolve their partnership on 31 December 2024.

Statement of financial position as at 31 December 2024

	\$	\$
Non current assets		
Freehold property		130 000
Motor vehicles		85 000
Fixtures and fittings		<u>60 000</u>
		275 000
Current assets		
Inventory	31 000	
Trade receivables	<u>27 000</u>	
		<u>58 000</u>
		<u>333 000</u>
Equity and liabilities		
Capital accounts: Sarah	145 000	
Beauty	<u>81 000</u>	
		226 000
Current accounts: Sarah	24 000	
Beauty	<u>(6 000)</u>	
		18 000
Non current liabilities		
10% Loan from Beauty		50 000
Current liabilities		
Trade payables	26 000	
Bank	<u>13 000</u>	
		<u>39 000</u>
		<u>333 000</u>

The terms of dissolution were:

1. Sarah and Beauty took over the vehicles they were using at the agreed values of \$12 000 and \$15 000 respectively. The remaining vehicles were sold for \$52 000.
2. Inventory was sold for \$28 000.
3. Trade receivables paid their accounts after receiving 5% discount.
4. A 10% discount was received from trade payables.
5. Dissolution costs were \$4 000.
6. Freehold property was sold at 10% above its book value.
7. Fixtures and fittings realised \$55 000.

Loan from Beauty was repaid.

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(a) Realisation account.

[illegible]

[10]

(b) Partners' capital accounts in columnar form.

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—[6]

[illegible]

–[9]

- 3 KB LTd's statements of financial positions as the 30 June 2024 and 30 June 2025 were as follows.

	30 June 2024			30 June 2025		
	Cost	Accumulated depreciation	Net book value	Cost	Accumulated depreciation	Net book value
	\$000	\$000	\$000	\$000	\$000	\$000
Non current assets						
Premises	250	-	250	250	-	250
Plant & machinery	238	67	171	327	95	232
Delivery vans	<u>90</u>	<u>16</u>	<u>74</u>	<u>110</u>	<u>40</u>	<u>70</u>
	<u>578</u>	<u>83</u>	495	<u>687</u>	<u>135</u>	552
Investments			<u>98</u>			<u>72</u>
			593			624
Current assets						
Inventory		112			152	
Trade receivables		140,50			125	
Bank		-	<u>252,5</u>		64	<u>341</u>
			<u>845,5</u>			<u>965</u>
Equity and liabilities						
Share capital and reserves						
Ordinary shares of \$1 each fully paid			320			460
Share premium			100			20
Capital redemption reserve			-			120
General reserve			82			100
Retained earnings			39,9			42
Non current liabilities						
8% redeemable preference shares of \$0,50 each			180			60
Current liabilities						
Trade payables		145,2			122	
Taxation		57,4			41	
Bank overdraft		<u>11</u>	<u>213,6</u>		<u>-</u>	<u>163</u>
			<u>845,5</u>			<u>965</u>

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1. KB Ltd's statement of profit or loss extract for the year ending 30 June 2025 was as follows.

	\$
Operating profit	197 500
Less taxation	<u>41 000</u>
Profit after tax	156 500

2. At 30 June 2025, some of the 8% redeemable preference shares were redeemed at a premium of 5%. A full year's dividend on the shares redeemed was paid before the redemption.
3. Delivery van with a cost price of \$100 000 was disposed at a profit of \$1 500. The delivery van was sold for \$4 200 cash.
4. The business sold some of its investments at cost.
5. A rights issue on ordinary shares was made at a premium of \$0,10 per share.

(a) Prepare KB Ltd's statement of cash flows for the year ended 30 June 2025.

[illegible]

[illegible]

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- (b) Distinguish between the statement of cash flows and the statement of profit and loss.

[6]

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- 4 Thando Limited manufactures fruit juice. The following information was extracted from the company's books at 31 December 2024.

	\$
Revenue	600 000
Inventories at 1 January 2024:	
Raw materials	12 500
Work in progress	16 000
Loose tools	12 000
Finished goods	24 200
Carriage on raw materials	8 000
Purchases of raw materials	105 000
Direct labour	125 000
Direct expenses	90 000
Rent	25 000
Insurance	23 000
Advertising	18 000
Carriage outwards	7 500
Machinery at cost	64 000
Office equipment at cost	52 000
Purchase of loose tools	26 000

Additional information:

1. Inventories at 31 December 2024

	\$
Raw materials	17 500
Work in progress	11 500
Loose tools	15 000
Finished goods	22 000

2. Direct expenses owing were \$5 000.

3. Insurance prepaid amounted to \$3 000. Insurance is to be apportioned as; factory $\frac{3}{5}$ and office $\frac{2}{5}$.

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- [illegible]

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[Turn over

(ii) a Statement of profit or loss for the year ended 31 December 2024.

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[11]

- (b) Explain the prudence concept.

 [2]

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